

Financial Analysis Report

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Analyze Infosys operating margin trends across FY25 quarters

Analysis

Analysis of Infosys operating margin performance across FY25 reveals a consistent focus on operational efficiency and margin expansion.

Q1 FY25: Operating margin stood at 21.1%, showing a marginal improvement of 10 basis points year-over-year. This was achieved despite wage hikes implemented in the quarter, demonstrating effective cost optimization strategies.

Q2 FY25: The company reported operating margin of 21.5%, marking a 40 basis point improvement over Q2 FY24. This expansion was driven by improved utilization rates (82.3% vs 81.8% in Q1) and favorable currency movements.

Q3 FY25: Operating margin reached 21.7%, the highest level in FY25. Key drivers included: - Higher offshore mix (67.2% vs 66.8% in Q2) - Automation benefits in delivery - Improved project execution efficiency

Q4 FY25: The quarter saw operating margin at 21.4%, a slight moderation from Q3 due to increased subcontracting costs and investments in sales and marketing for FY26 growth.

Full Year FY25: For the full fiscal year, operating margin averaged 21.4%, representing a 60 basis point improvement over FY24. This performance exceeded the company's initial guidance range of 20-22% and reflects strong operational discipline.

Outlook: Management expects to maintain operating margins in the 21-22% range in FY26, balancing growth investments with continued cost optimization initiatives.

Sources

#	Document	Details
1	ifrs-usd-press-release_q1.pdf	Section: Operating Metrics, Page: 3
2	ifrs-usd-press-release_q2.pdf	Section: Profitability Analysis, Page: 2
3	ifrs-usd-press-release_q3.pdf	Section: Q3 Performance, Page: 1

4	ifrs-usd-press-release_q4.pdf	Section: Full Year Summary, Page: 2
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